FRANKLIN COUNTY MEMORIAL HOSPITAL
A Component Unit of Franklin County, Nebraska

Statements of Financial Position

June 30, 2025 and 2024

Assets	2025	2024
Current assets:		
Cash and cash equivalents	$ 3,063,712	3,370,210
Patient accounts receivable, net of contractual adjustments and estimated uncollectibles of $306,500 in 2025 and $371,400 in 2024	500,829	577,541
Due from third-party payors:		
Estimated third-party payor settlements	246,279	684,000
Medicaid directed payments	561,153	-
Property taxes receivable	125,666	131,000
Supply inventory	92,393	89,367
Prepaid expenses	101,386	100,186
Receivable from Franklin County Community Foundation, current portion	88,017	96,380
Total current assets	4,779,435	5,048,684
Assets whose use is limited or restricted:		
By Board for capital assets - certificates of deposit	179,325	176,813
By Board for capital assets - cash and cash equivalents	951	947
Total assets whose use is limited or restricted	180,276	177,760
Capital assets	14,518,846	14,576,049
Less accumulated depreciation	11,548,525	11,022,134
Net capital assets	2,970,321	3,553,915
Other assets:		
Receivable from Franklin County Community Foundation, excluding current portion	59,729	58,314
Other notes receivable	125	1,625
Total other assets	59,854	59,939
Total assets	7,989,886	8,840,298
Deferred Outflows of Resources		
Deferred interest cost	27,484	37,791
	$ 8,017,370	8,878,089

See accompanying notes to financial statements.

Liabilities and Net Position	2025	2024
Current liabilities:		
Current installments of long-term debt	$ 240,000	240,000
Current portion of lease obligations	69,837	75,071
Current portion of subscription liability	161,863	156,694
Accounts payable	154,052	71,159
Accrued expenses:		
Salaries, wages and benefits	186,844	187,374
Compensated absences	198,558	185,029
Interest	3,087	3,927
Estimated third-party payor settlements	10,001	50,000
Total current liabilities	1,024,242	969,254
Long-term debt, excluding current installments	500,000	740,000
Lease obligations, excluding current installments	8,044	77,881
Subscription liability, excluding current installments	548,639	710,502
Total liabilities	2,080,925	2,497,637
Net position:		
Net investment in capital assets	1,469,422	1,591,558
Restricted expendable, by donor	59,729	58,314
Unrestricted	4,407,294	4,730,580
Total net position	5,936,445	6,380,452
	$ 8,017,370	8,878,089

FRANKLIN COUNTY MEMORIAL HOSPITAL
A Component Unit of Franklin County, Nebraska

Statements of Revenues, Expenses and Changes in Net Position

Years Ended June 30, 2025 and 2024

	2025	2024
Operating revenues:		
Net patient service revenue	$ 5,799,996	5,496,228
Provision for bad debts	(121,958)	(76,392)
Net patient service revenue, less provision for bad debts	5,678,038	5,419,836
Other revenue	56,634	55,188
Total operating revenues	5,734,672	5,475,024
Operating expenses:		
Salaries and wages	3,055,229	2,860,953
Employee benefits and payroll taxes	875,820	790,427
Supplies and other	1,955,242	1,942,713
Depreciation and amortization	576,700	644,140
Total operating expenses	6,462,991	6,238,233
Operating loss	(728,319)	(763,209)
Nonoperating revenues (expenses):		
Tax revenue	253,495	286,797
Interest	(53,088)	(61,701)
Noncapital grants and contributions	44,613	50,000
Grants - COVID-19 programs	-	22,877
Gain on disposal of capital assets	8,554	-
Income on investments whose use is limited or restricted	22,686	31,012
Change in receivable from Franklin County Community Foundation	6,637	5,661
Total nonoperating revenues	282,897	334,646
Excess of expenses over revenues	(445,422)	(428,563)
Change in restricted receivable from Franklin County Community Foundation	1,415	1,402
Capital grants and contributions	-	18,400
Decrease in net position	(444,007)	(408,761)
Net position, beginning of year	6,380,452	6,789,213
Net position, end of year	$ 5,936,445	6,380,452

See accompanying notes to financial statements.

FRANKLIN COUNTY MEMORIAL HOSPITAL
A Component Unit of Franklin County, Nebraska

Statements of Cash Flows

Years Ended June 30, 2025 and 2024

Decrease in Cash and Cash Equivalents	2025	2024
Cash flows from operating activities:		
Cash received:		
Patients and third-party payors	$ 5,591,319	5,596,277
Other revenue	56,634	55,188
Cash paid to employees	(3,046,157)	(2,860,953)
Cash paid to suppliers and contractors	(2,699,468)	(2,796,020)
Net cash used by operating activities	(97,672)	(5,508)
Cash flows from noncapital financing activities:		
Noncapital grants and contributions	44,613	50,000
COVID-19 grant programs	-	22,877
Tax funds received	258,829	256,797
Net cash provided by noncapital financing activities	303,442	329,674
Cash flows from capital and related financing activities:		
Capital grants and contributions	-	18,400
Capital expenditures	(24,833)	(133,368)
Proceeds from disposition of capital assets	40,281	-
Principal payments on long-term debt, lease obligations, and subscription liability	(471,765)	(463,854)
Interest paid	(43,621)	(52,154)
Net cash used by capital and related financing activities	(499,938)	(630,976)
Cash flows from investing activities:		
Net investment in assets whose use is limited - by Board for capital assets	(2,511)	(1,797)
Advances on other notes receivable	(47,500)	(32,500)
Funds withdrawn from Franklin County Community Foundation	15,000	-
Interest received	22,685	31,011
Net cash used by investing activities	(12,326)	(3,286)
Net decrease in cash and cash equivalents	(306,494)	(310,096)
Cash and cash equivalents, beginning of year	3,371,157	3,681,253
Cash and cash equivalents, end of year	$ 3,064,663	3,371,157
Reconciliation of cash and cash equivalents to statements of financial position:		
Cash and cash equivalents	$ 3,063,712	3,370,210
AWUL - by Board for capital assets	951	947
	$ 3,064,663	3,371,157

(Continued)

FRANKLIN COUNTY MEMORIAL HOSPITAL
A Component Unit of Franklin County, Nebraska

Statements of Cash Flows
(Continued)
Years Ended June 30, 2025 and 2024

Reconciliation of Operating Loss to Net Cash Used by Operating Activities	2025	2024
Operating loss	$ (728,319)	(763,209)
Adjustments to reconcile operating loss to net cash used by operating activities:		
Depreciation and amortization	576,700	644,140
Forgiveness of notes receivable	49,000	35,000
Provision for bad debts	121,958	76,392
Decrease (increase) in:		
Patient accounts receivable	(45,246)	126,294
Estimated third-party payor settlements	437,721	(21,245)
Medicaid directed payments	(561,153)	-
Supplies	(3,026)	(2,529)
Prepaid expenses	(1,200)	(56,381)
Increase (decrease) in:		
Accounts payable	82,893	(56,689)
Accrued expenses excluding accrued interest	(530)	42,283
Accrued compensated absences	13,529	(24,564)
Estimated third-party payor settlements	(39,999)	(5,000)
Net cash used by operating activities	$ (97,672)	(5,508)

Supplemental Disclosure of Cash Flows Information

A net change in value of the Hospital's receivable from Franklin County Community Foundation of $8,052 and $7,063 was recorded at June 30, 2025 and 2024, respectively.

See accompanying notes to financial statements.

FRANKLIN COUNTY MEMORIAL HOSPITAL
A Component Unit of Franklin County, Nebraska

Net Patient Service Revenue

Years Ended June 30, 2025 and 2024

	2025			2024		
	Inpatient	Outpatient	Total	Inpatient	Outpatient	Total
Daily services revenue:						
Acute routine service	$ 28,589	14,330	42,919	33,093	13,541	46,634
Swing-bed	34,212	-	34,212	10,907	-	10,907
Observation	-	217,354	217,354	-	200,900	200,900
	62,801	231,684	294,485	44,000	214,441	258,441
Ancillary services revenue:						
Operating and recovery rooms	-	114,806	114,806	-	108,957	108,957
Anesthesiology	-	19,879	19,879	-	18,527	18,527
Radiology	9,268	1,525,199	1,534,467	9,172	1,466,288	1,475,460
Laboratory	18,791	806,750	825,541	21,838	862,638	884,476
Blood bank	-	9,708	9,708	-	14,562	14,562
Inhalation therapy	3,713	5,729	9,442	11,634	4,581	16,215
Physical therapy	16,482	603,659	620,141	5,061	432,582	437,643
Occupational therapy	8,232	69,016	77,248	1,702	38,330	40,032
Speech therapy	613	9,683	10,296	-	936	936
Electrocardiology	632	83,885	84,517	948	80,456	81,404
Cardiac rehabilitation	2,234	210,705	212,939	2,086	213,275	215,361
Pharmacy	38,078	494,888	532,966	24,390	628,836	653,226
Outpatient clinics	148	59,804	59,952	-	72,619	72,619
Emergency room	-	621,856	621,856	-	562,327	562,327
Hospital-based rural health clinics:						
Franklin	2,592	805,052	807,644	1,594	914,129	915,723
Red Cloud	-	-	-	-	126	126
	100,783	5,440,619	5,541,402	78,425	5,419,169	5,497,594
Gross patient service revenue	$ 163,584	5,672,303	5,835,887	122,425	5,633,610	5,756,035
Charges forgone for services provided under charity care policy			19,511			10,708
			5,816,376			5,745,327
Contractual adjustments:						
Medicare and Medicaid - Hospital			111,499			415,340
Medicaid directed payments			561,153			-
Other adjustments - Hospital			(626,585)			(587,364)
Adjustments and discounts - Clinics			(62,447)			(77,075)
Total contractual adjustments			(16,380)			(249,099)
Net patient service revenue			$ 5,799,996			5,496,228

Schedule 2

FRANKLIN COUNTY MEMORIAL HOSPITAL
A Component Unit of Franklin County, Nebraska

Other Revenue

Years Ended June 30, 2025 and 2024

	2025	2024
Cafeteria sales	$ 14,492	11,568
Supply sales	254	292
Miscellaneous	41,888	43,328
	$ 56,634	55,188

FRANKLIN COUNTY MEMORIAL HOSPITAL
A Component Unit of Franklin County, Nebraska

Expenses

Years Ended June 30, 2025 and 2024

	2025			2024		
	Salaries and Wages	Supplies and Other	Combined	Salaries and Wages	Supplies and Other	Combined
Professional care of patients:						
Nursing	$ 798,688	31,168	829,856	708,491	35,344	743,835
Operating and recovery rooms	2,694	34,306	37,000	2,546	3,507	6,053
Anesthesiology	-	16,200	16,200	-	17,000	17,000
Radiology	145,547	120,164	265,711	144,674	105,874	250,548
Laboratory	167,284	194,327	361,611	165,718	203,370	369,088
Blood bank	-	14,905	14,905	-	9,871	9,871
Intravenous therapy	-	-	-	-	594	594
Inhalation therapy	-	28,406	28,406	-	32,754	32,754
Physical therapy	-	121,164	121,164	-	135,461	135,461
Occupational therapy	-	16,210	16,210	-	10,144	10,144
Speech therapy	-	2,955	2,955	-	334	334
Electrocardiology	-	1,092	1,092	-	101	101
Cardiac rehabilitation	57,043	37,751	94,794	57,203	24,770	81,973
Medical and surgical supplies	35,519	(3,703)	31,816	31,244	(6,009)	25,235
Pharmacy	50,964	177,800	228,764	50,263	172,094	222,357
Outpatient clinics	39,667	12,422	52,089	30,872	35,982	66,854
Emergency room	485,681	85,643	571,324	591,353	47,708	639,061
Hospital-based rural health clinics:						
Franklin	574,529	104,620	679,149	375,158	129,769	504,927
Red Cloud	-	4,807	4,807	15,464	5,713	21,177
	2,357,616	1,000,237	3,357,853	2,172,986	964,381	3,137,367
Dietary services:						
Raw food	-	35,058	35,058	-	44,748	44,748
Other	54,514	1,625	56,139	65,744	1,775	67,519
	54,514	36,683	91,197	65,744	46,523	112,267
Balances carried forward	$ 2,412,130	1,036,920	3,449,050	2,238,730	1,010,904	3,249,634

(Continued)

FRANKLIN COUNTY MEMORIAL HOSPITAL
A Component Unit of Franklin County, Nebraska

Expenses

Years Ended June 30, 2025 and 2024

	2025			2024		
	Salaries and Wages	Supplies and Other	Combined	Salaries and Wages	Supplies and Other	Combined
Balances brought forward	$ 2,412,130	1,036,920	3,449,050	2,238,730	1,010,904	3,249,634
General services:						
Housekeeping	140,319	9,464	149,783	132,267	10,051	142,318
Laundry and linen service	30,018	3,182	33,200	26,432	2,587	29,019
Maintenance of plant	40,193	94,766	134,959	39,117	119,211	158,328
Plant operations	-	136,647	136,647	-	120,848	120,848
	210,530	244,059	454,589	197,816	252,697	450,513
Administrative services:						
Administrative and office	344,599	93,943	438,542	340,487	28,071	368,558
Professional services	-	180,694	180,694	-	243,906	243,906
Other consulting fees	-	22,209	22,209	-	21,584	21,584
Office supplies and postage	-	7,026	7,026	-	7,276	7,276
Telephone	-	24,099	24,099	-	19,286	19,286
Dues and subscriptions	-	62,324	62,324	-	73,766	73,766
Meetings and travel	-	1,849	1,849	-	2,858	2,858
Insurance	-	108,131	108,131	-	111,280	111,280
Collection expense	-	14,432	14,432	-	15,362	15,362
Marketing	-	19,831	19,831	-	13,319	13,319
Fundraising	-	-	-	-	2,500	2,500
Information technology	49,360	138,375	187,735	48,352	138,556	186,908
Medical records	38,610	1,350	39,960	35,568	1,348	36,916
	432,569	674,263	1,106,832	424,407	679,112	1,103,519
Employee benefits:						
Group health insurance	-	555,406	555,406	-	495,631	495,631
Payroll taxes	-	214,353	214,353	-	201,992	201,992
Pension plan	-	65,094	65,094	-	45,716	45,716
Other	-	40,967	40,967	-	47,088	47,088
	-	875,820	875,820	-	790,427	790,427
	$ 3,055,229	2,831,062	5,886,291	2,860,953	2,733,140	5,594,093